

HOUSE BILL No. 1168

DIGEST OF INTRODUCED BILL

Citations Affected: IC 6-1.1.

Synopsis: Property tax exemption for qualified veterans. Provides a property tax deduction for an individual, or the surviving spouse of an individual, who has been rated by the United States Department of Veterans Affairs as individually unemployable.

Effective: July 1, 2026.

Klinker

January 5, 2026, read first time and referred to Committee on Ways and Means.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1168

A BILL FOR AN ACT to amend the Indiana Code concerning taxation.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 6-1.1-12-14, AS AMENDED BY P.L.230-2025,
2 SECTION 32, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
3 JULY 1, 2026]: Sec. 14. (a) Except as provided in subsection (c) and
4 except as provided in section 40.5 of this chapter, an individual may
5 have the sum of fourteen thousand dollars (\$14,000) deducted from the
6 assessed value of the real property, mobile home not assessed as real
7 property, or manufactured home not assessed as real property that the
8 individual owns (or the real property, mobile home not assessed as real
9 property, or manufactured home not assessed as real property that the
10 individual is buying under a contract that provides that the individual
11 is to pay property taxes on the real property, mobile home, or
12 manufactured home if the contract or a memorandum of the contract is
13 recorded in the county recorder's office) if:
14 (1) the individual served in the military or naval forces of the
15 United States for at least ninety (90) days;
16 (2) the individual received an honorable discharge;
17 (3) the individual: ~~either:~~



- 1 (A) has a total disability; ~~or~~
 2 **(B) for the January 1, 2026, assessment date and each**
 3 **assessment date thereafter, has been rated by the United**
 4 **States Department of Veterans Affairs as individually**
 5 **unemployable; or**
 6 ~~(B)~~ (C) is at least sixty-two (62) years ~~old of age~~ and has a
 7 disability of at least ten percent (10%);
 8 (4) the individual's disability is evidenced by:
 9 (A) a pension certificate or an award of compensation issued
 10 by the United States Department of Veterans Affairs; or
 11 (B) a certificate of eligibility issued to the individual by the
 12 Indiana department of veterans' affairs after the Indiana
 13 department of veterans' affairs has determined that the
 14 individual's disability qualifies the individual to receive a
 15 deduction under this section; and
 16 (5) the individual:
 17 (A) owns the real property, mobile home, or manufactured
 18 home; or
 19 (B) is buying the real property, mobile home, or manufactured
 20 home under contract;
 21 on the date the statement required by section 15 of this chapter is
 22 filed.
 23 (b) Except as provided in subsections (c) and (d), the surviving
 24 spouse of an individual may receive the deduction provided by this
 25 section if:
 26 (1) the individual satisfied the requirements of subsection (a)(1)
 27 through (a)(4) at the time of death; or
 28 (2) the individual:
 29 (A) was killed in action;
 30 (B) died while serving on active duty in the military or naval
 31 forces of the United States; or
 32 (C) died while performing inactive duty training in the military
 33 or naval forces of the United States; ~~and~~
 34 **and** the surviving spouse satisfies the requirement of subsection (a)(5)
 35 at the time the deduction statement is filed. The surviving spouse is
 36 entitled to the deduction regardless of whether the property for which
 37 the deduction is claimed was owned by the deceased veteran or the
 38 surviving spouse before the deceased veteran's death.
 39 (c) Except as provided in subsection (f), no one is entitled to the
 40 deduction provided by this section if the assessed value of the
 41 individual's Indiana real property, Indiana mobile home not assessed as
 42 real property, and Indiana manufactured home not assessed as real



property, as shown by the tax duplicate, exceeds the assessed value limit specified in subsection (d).

(d) Except as provided in subsection (f), for the:

(1) January 1, 2017, January 1, 2018, and January 1, 2019, assessment dates, the assessed value limit for purposes of subsection (c) is one hundred seventy-five thousand dollars (\$175,000);

(2) January 1, 2020, January 1, 2021, January 1, 2022, and January 1, 2023, assessment dates, the assessed value limit for purposes of subsection (c) is two hundred thousand dollars (\$200,000); and

(3) January 1, 2024, assessment date and for each assessment date thereafter, the assessed value limit for purposes of subsection (c) is two hundred forty thousand dollars (\$240,000).

(e) An individual who has sold real property, a mobile home not assessed as real property, or a manufactured home not assessed as real property to another person under a contract that provides that the contract buyer is to pay the property taxes on the real property, mobile home, or manufactured home may not claim the deduction provided under this section against that real property, mobile home, or manufactured home.

(f) For purposes of determining the assessed value of the real property, mobile home, or manufactured home under subsection (d) for an individual who has received a deduction under this section in a previous year, increases in assessed value that occur after the later of:

(1) December 31, 2019; or

(2) the first year that the individual has received the deduction; are not considered unless the increase in assessed value is attributable to substantial renovation or new improvements. Where there is an increase in assessed value for purposes of the deduction under this section, the assessor shall provide a report to the county auditor describing the substantial renovation or new improvements, if any, that were made to the property prior to the increase in assessed value.

SECTION 2. IC 6-1.1-22-19, AS ADDED BY P.L.230-2025, SECTION 50, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 19. (a) This section applies to real property tax statements provided to taxpayers after December 31, 2025.

(b) In a manner determined by the department of local government finance, the department of local government finance shall include on the coupon page of the property tax statement prescribed by the department of local government finance educational information regarding the eligibility and procedures for the following deductions



- 1 and credit available to certain eligible taxpayers:
- 2 (1) The deduction for a veteran with a partial disability under
- 3 IC 6-1.1-12-13.
- 4 (2) The deduction for a totally disabled veteran, **a veteran rated**
- 5 **by the United States Department of Veterans Affairs as**
- 6 **individually unemployable**, or a veteran who is at least sixty-two
- 7 (62) years of age who is partially disabled under IC 6-1.1-12-14.
- 8 (3) The deduction for a disabled veteran under IC 6-1.1-12-14.5.
- 9 (4) The credit for a person sixty-five (65) years of age or older
- 10 under IC 6-1.1-51.3-1.

